Practice workbook · Calculating the provision for irrecoverable debts

Working out the provision required, its rate, adjusted receivables and the change from last year.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ADJ-10

1. Question 13 · part b · 3 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part b only.

13 Shahid maintains a provision for irrecoverable debts of 4% of trade receivables. The balance of the provision at 1 April 2023 was $1 205

At 31 March 2024 the balance of the trade receivables ledger control account was $28 750. This included a debt of $450 due from a credit customer that was irrecoverable.

(a) Prepare a journal entry to write off the irrecoverable debt. A narrative is **not** required.

(2)

Journal

Date 2024	Account	Debit $	Credit $
March 31			

(b) Calculate the change in the provision for irrecoverable debts at 31 March 2024 stating clearly whether the change is an increase or decrease in the provision.

(3)

(Total for Question 13 = 5 marks)

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1. Question 13 · part b · 3 marks · Working and answer

Working and answer

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2. Question 13 · part a · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part a only.

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13 Neha provided the following information for the year ended 31 March 2019.

	1 April 2018 $	31 March 2019 $
Trade receivables	12 500	15 550

Neha maintains a provision for irrecoverable debts at 10% of trade receivables.

At 31 March 2019 irrecoverable debts of $550 were to be written off.

(a) Calculate the provision for irrecoverable debts at 31 March 2019.

(1)

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(b) Prepare the provision for irrecoverable debts account for the year ended 31 March 2019. Balance the account on that date and bring the balance down on 1 April 2019.

(4)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

(Total for Question 13 = 5 marks)

Working and answer

3. Question 13 · part a · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part a only.

13 Huang maintains a provision for irrecoverable debts at 4% of trade receivables. The balance of the provision at 1 November 2018 was $965

At 31 October 2019 the balance of Huang's trade receivables ledger control account was $23 620 of which $170 was irrecoverable.

(a) Calculate the balance on the provision for irrecoverable debts account at 31 October 2019.

(2)

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(b) Prepare the provision for irrecoverable debts account for the year ended 31 October 2019 showing the transfer to the income statement. Balance the account at this date and bring the balance down at 1 November 2019.

(3)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

(Total for Question 13 = 5 marks)

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3. Question 13 · part a · 2 marks · Working and answer

Working and answer

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4. Question 13 · part b · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

13 Juan maintains a provision for irrecoverable debts at 5% of trade receivables.

The balance of the provision at 1 May 2019 was $3 122

At 30 April 2020 the balance of Juan's trade receivables ledger control account was $58 200 of which $1 600 was irrecoverable.

(a) Prepare the journal entry to write off the irrecoverable debt.

A narrative **is** required.

(3)

Journal

Date	Details	Debit $	Credit $
30 April 2020			

(b) Calculate the balance of the provision for irrecoverable debts account at 1 May 2020.

(2)

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(Total for Question 13 = 5 marks)

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Working and answer

5. Question 17 · part c · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

17 (a) Complete the table below, indicating with a tick (✓) which account will be debited and which account will be credited when writing off an irrecoverable debt.

(2)

Account	Debit	Credit
Trade receivables control		
Irrecoverable debts		

(b) State **two** accounting concepts that apply when writing off an irrecoverable debt.

(2)

1 .....

2 .....

Nyan maintains a provision for irrecoverable debts of 5% of trade receivables.

On 1 March 2019 the balance of the provision for irrecoverable debts account was $1 845

On 29 February 2020 trade receivables were $42 520. This included $380 that Nyan considered to be irrecoverable.

(c) Calculate the balance of the provision for irrecoverable debts at 29 February 2020.

(2)

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5. Question 17 · part c · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

(d) Prepare the provision for irrecoverable debts account for the year ended 29 February 2020. Balance the account at this date and bring down the balance on 1 March 2020.

(4)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

(e) Evaluate the reasons why it is necessary for a business to create a provision for irrecoverable debts.

(5)

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(Total for Question 17 = 15 marks)

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5. Question 17 · part c · 2 marks · Working and answer

Working and answer

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6. Question 12 · part b · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part b only.

12 At 30 September 2020 the balance of Rashida's trade receivables ledger control account was $39 650. A debt of $730 due from Lee was irrecoverable.

(a) Prepare a journal entry in Rashida's books to write off the irrecoverable debt. A narrative is not required.

(2)

Date	Account	Debit $	Credit $
30/09/20			

Rashida maintains a provision for irrecoverable debts of 5% of trade receivables.

At 1 October 2019 the balance of the provision for irrecoverable debts account was $1 635.

(b) Calculate the increase or decrease in the provision for irrecoverable debts at 30 September 2020.

(2)

(c) State in which section of the statement of financial position the provision for irrecoverable debts would appear.

(1)

(Total for Question 12 = 5 marks)

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6. Question 12 · part b · 2 marks · Working and answer

Working and answer

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7. Question 18 · part b · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part b only.

18 (a) Explain **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

(2)

Xi provided the following information at 1 May 2022

Account	$
Trade receivables	18 600
Provision for irrecoverable debts	744

(b) Calculate the rate of the provision for irrecoverable debts.

(1)

On 30 April 2023 trade receivables were $21 500

An irrecoverable debt of $750 was to be written off.

(c) Calculate at 30 April 2023:

(i) trade receivables

(1)

(ii) provision for irrecoverable debts.

(1)

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7. Question 18 · part b · 1 mark · Working and answer

Working and answer

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8. Question 18 · part c.i · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part c.i only.

18 (a) Explain **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

(2)

Xi provided the following information at 1 May 2022

Account	$
Trade receivables	18 600
Provision for irrecoverable debts	744

(b) Calculate the rate of the provision for irrecoverable debts.

(1)

On 30 April 2023 trade receivables were $21 500

An irrecoverable debt of $750 was to be written off.

(c) Calculate at 30 April 2023:

(i) trade receivables

(1)

(ii) provision for irrecoverable debts.

(1)

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8. Question 18 · part c.i · 1 mark · Working and answer

Working and answer

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9. Question 18 · part c.ii · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part c.ii only.

18 (a) Explain **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

(2)

Xi provided the following information at 1 May 2022

Account	$
Trade receivables	18 600
Provision for irrecoverable debts	744

(b) Calculate the rate of the provision for irrecoverable debts.

(1)

On 30 April 2023 trade receivables were $21 500

An irrecoverable debt of $750 was to be written off.

(c) Calculate at 30 April 2023:

(i) trade receivables

(1)

(ii) provision for irrecoverable debts.

(1)

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16

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9. Question 18 · part c.ii · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part c.ii only.

(iii) Prepare the provision for irrecoverable debts account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(4)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

(d) Identify, indicating with a tick (✓), where the balance of each account would be shown in a statement of financial position.

(2)

Account	Non-current assets	Current assets	Non-current liabilities	Current liabilities
Provision for depreciation				
Provision for irrecoverable debts				

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9. Question 18 · part c.ii · 1 mark · Working and answer

Working and answer

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